Southern Water Corporation - Financial Analysis

Prepared By Maimuna Akter

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Problem Statement

Southern Water Corp. faces **rising costs and uneven profitability** across its business units. Several units show a **cost–revenue imbalance**, with expenses exceeding revenue and causing **8–10% margin gaps**. The goal is to **reduce high-cost units' expense share by 10–12%** and **improve overall EBIT margins by 4–5 points within 12 months** through cost optimization and efficiency best practices.

1 Context

Southern Water Corp. operates three key business units - Surjek, Jutik, and Kootha - with combined annual revenue exceeding $400M. However, multiple units show **cost–revenue misalignment**, where operational expenses outpace revenue, reducing overall profitability and efficiency. Addressing these imbalances is critical to **stabilizing margins and ensuring sustainable growth.**

2 Criteria for success

- **10–12%** reduction in high-cost unit expenses
- **4–5 point EBIT** margin improvement
- Maintain production while achieving cost alignment across units

3 Scope of solution space

- **Expense segmentation**
- **Profitability benchmarking** across units
- **Operational and cost optimization strategies -** No new capital investments

4 Constraints within solution space

- Maintain production capacity and service quality
- Complete implementation within 12 months
- Ensure compliance with financial, regulatory, and environmental standards

5 Stakeholders to provide key insight

- Executive Leadership / CFO
- Unit Leaders **(Surjek, Jutik, Kootha)**
- Finance Team
- Operations & Plant Managers
- Procurement & Supply Chain

6 Key data sources

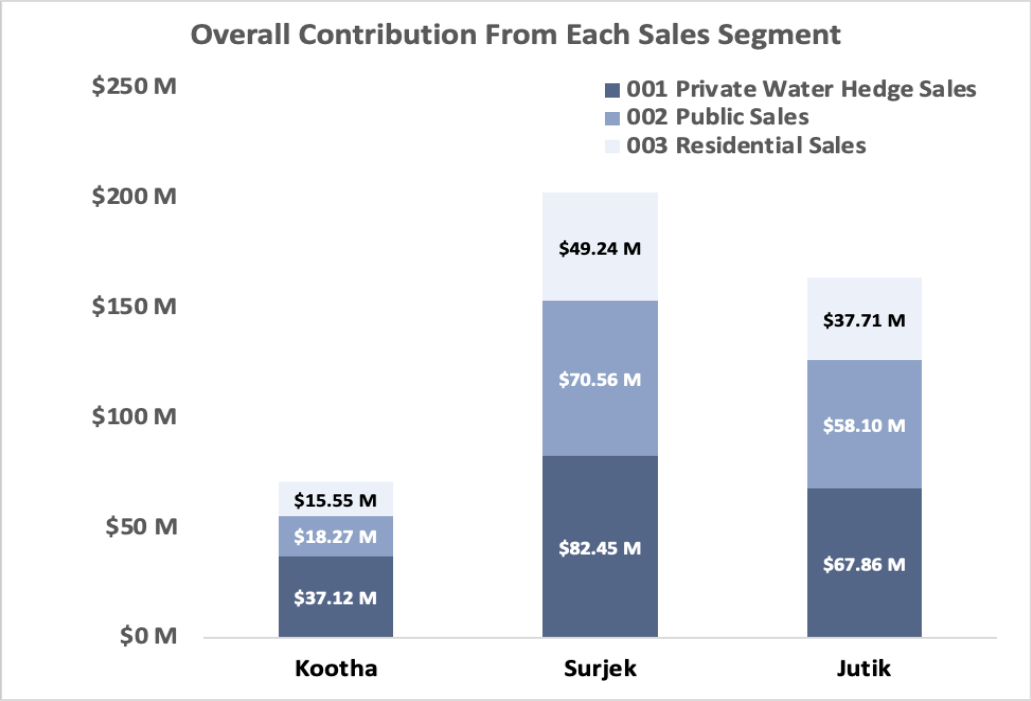
- **Internal financial statements**
- **Production and cost records**
- **ERP and accounting systems**
- **Operational dashboards:** KPIs and performance tracking

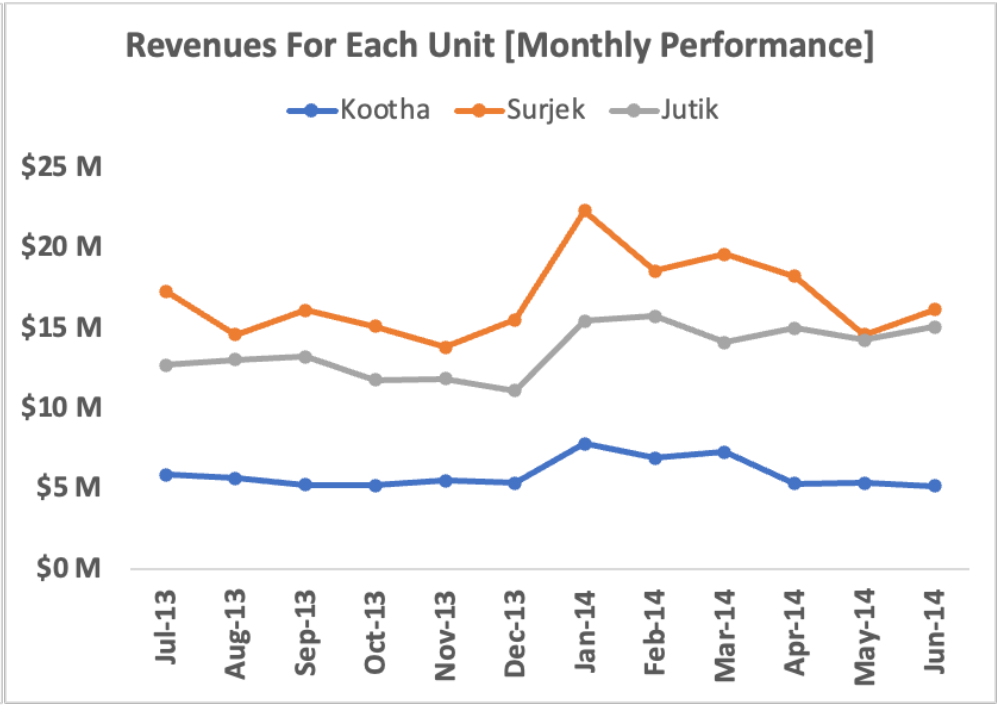
Analysis Structure

Stage	Focus Area	Objective / Key Question	Outcome / Insight
Segmentation Analysis	Revenue, expenses, and EBIT by business unit (Surjek, Jutik, Kootha)	Which units have the highest cost–revenue imbalance?	Identified cost concentration and uneven profitability across units.
Cost Driver Analysis	Variable costs (chemical and labor) vs. production volume	What factors are driving expense growth?	Revealed that rising production levels directly increase chemical and labor costs.
Expense Trend Analysis	Monthly cost fluctuations and seasonal spikes	When do costs peak, and why?	Found recurring expense spikes in high-production months, indicating process inefficiencies.
Profitability Benchmarking	EBIT margins and cost-to-revenue ratios across units	How efficiently does each unit convert revenue into profit?	Highlighted Kootha as the efficiency benchmark and Surjek as the least cost-effective unit.
Recommendations & Impact	Cost optimization, resource allocation, and margin improvement	How can we reduce costs and improve profitability?	Proposed actionable strategies projected to save $45M–$60M annually and increase EBIT by 4–5 points.

Segmentation of the revenues by unit, reveals that of the three (3) customer segments, Surjek ($202M) are the most popular, followed by Jutik ($164M) and lastly Kootha Sales ($71M).

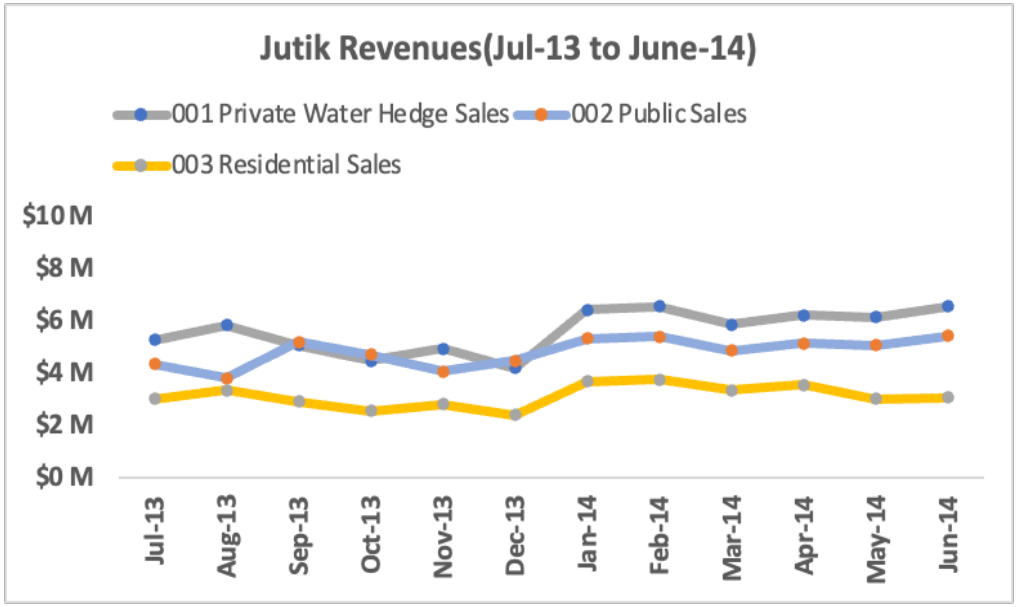
Revenue Breakdown

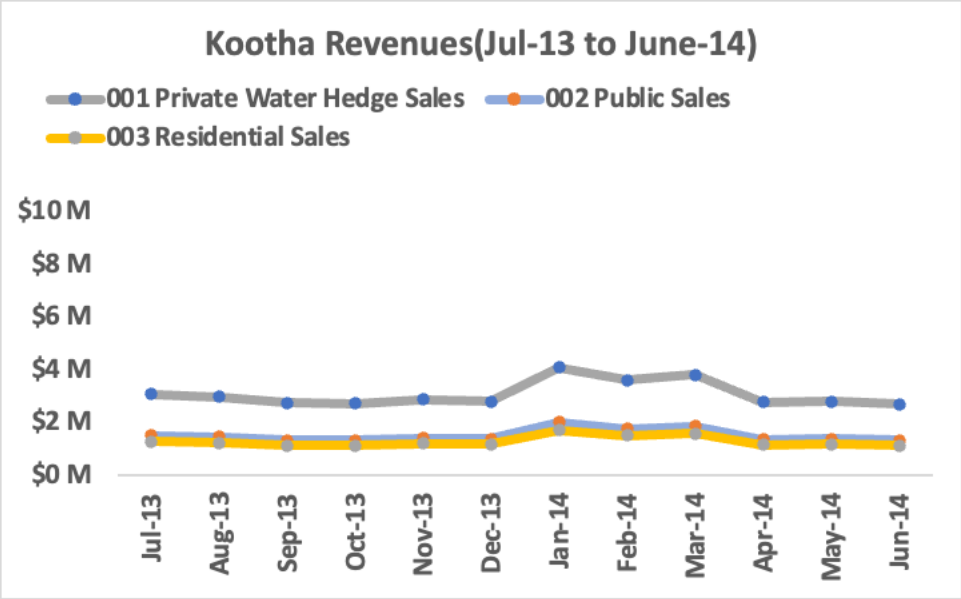


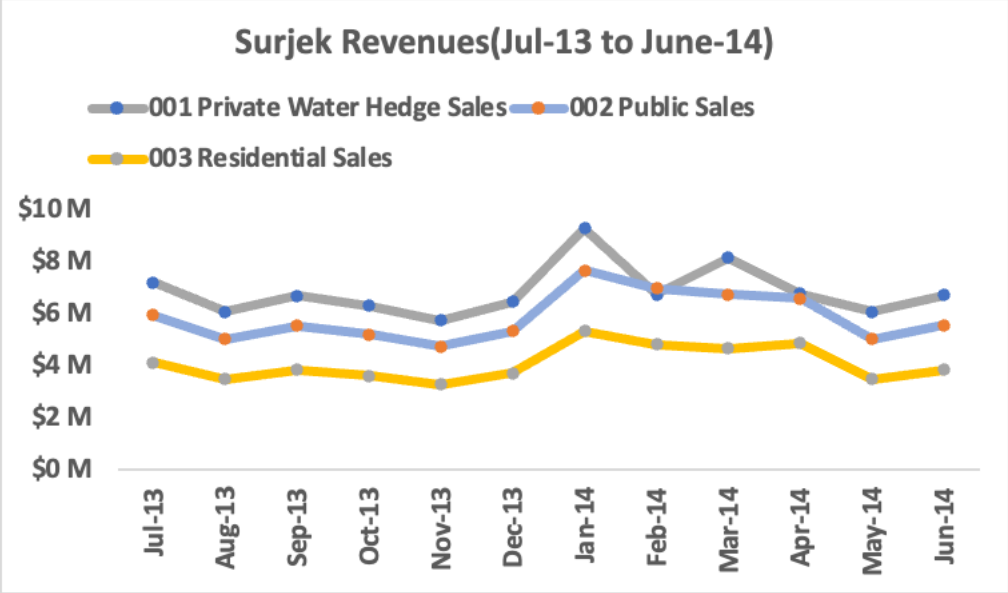


Of the ($437M) in Revenue Sales over the July-2013 to June-2014 Period, Surjek provides close to 50% of Sales Volumes ($202M), with Jutik ($164 M) and Kootha ($71M) providing the remaining.

Revenue Segmentation



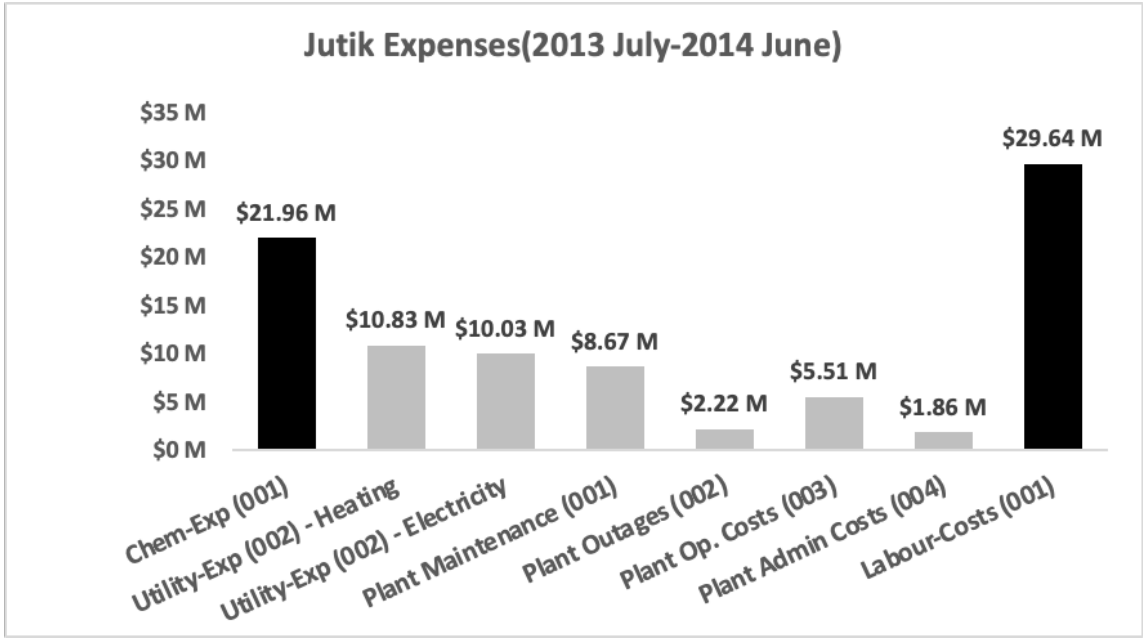


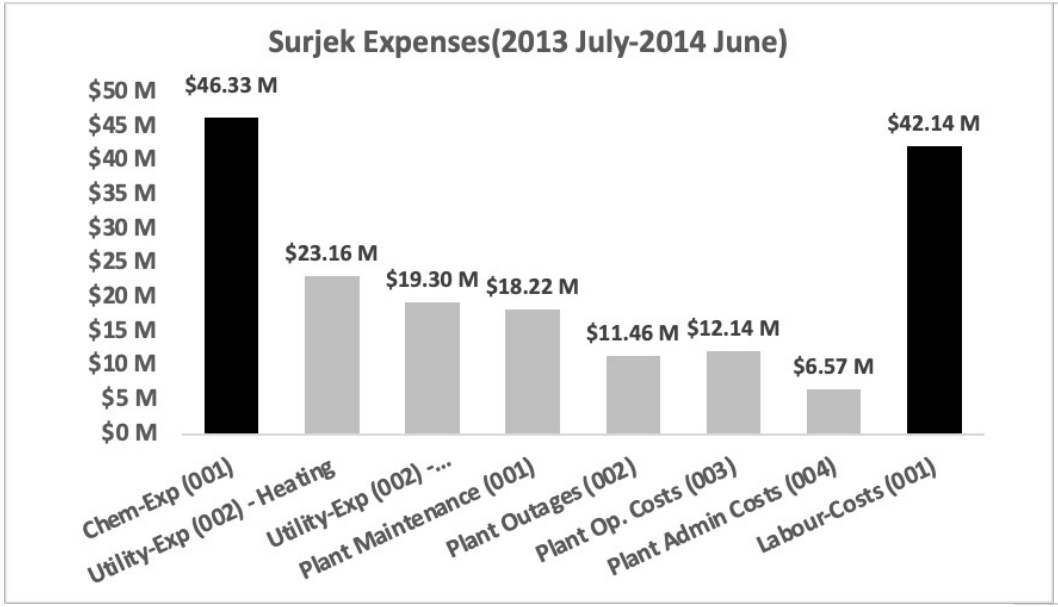


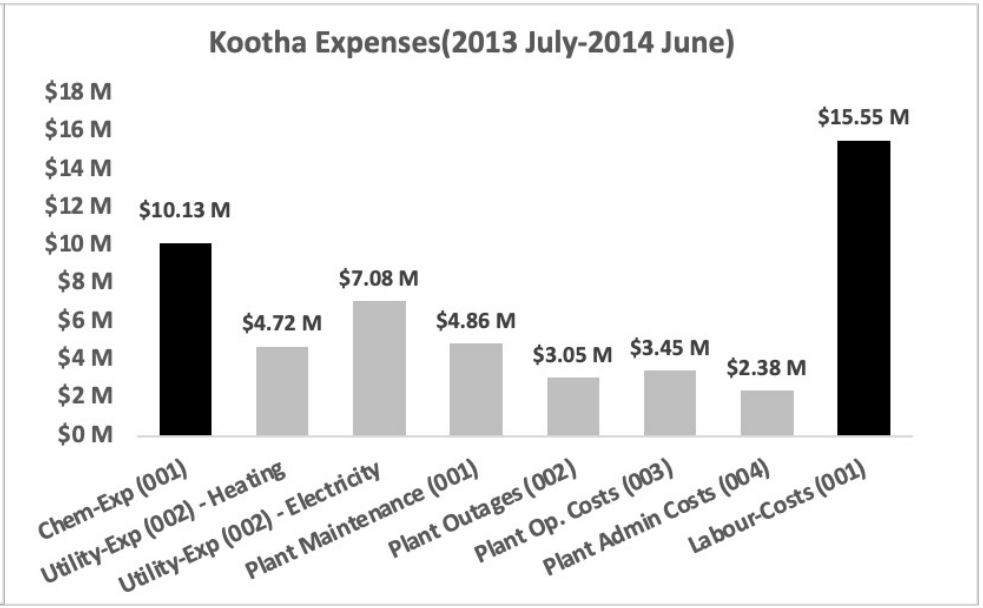
Note: This refers to the Total Sales for all 3 Units (Kootha, Surjek and Jutik)

Further analysis singles-out Surjek with $179M (56%) worth of expenses, contrasted to a much lower spend from Kootha $51M (16%) and Jutik $91M (28%), largely due to lower Chemical and Labour Expenditure.

Expense Overview



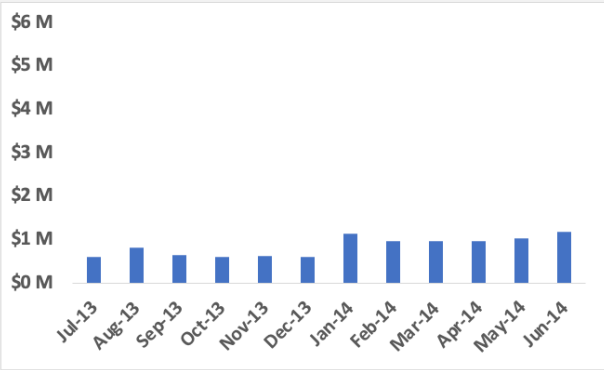




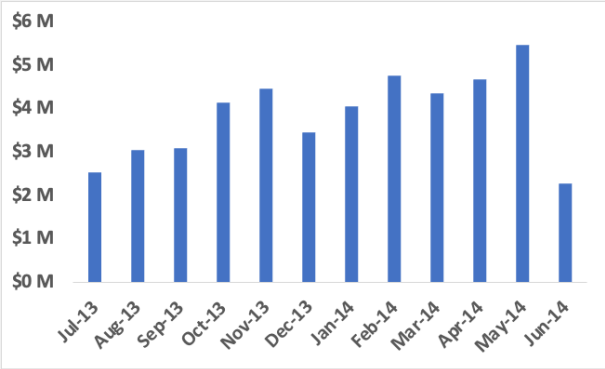
Drilling-down to the cost-element level, reveals an indicative relationship between water production and chemical expenditure with this being particularly pronounced for the Surjek Unit which coincidentally has the highest rate of water production.

Expense Analysis

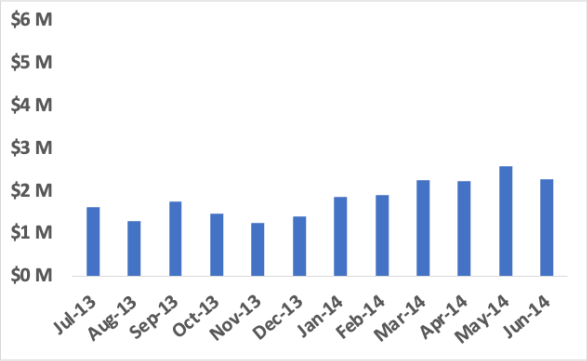
Kootha Chemical Cost Column Chart



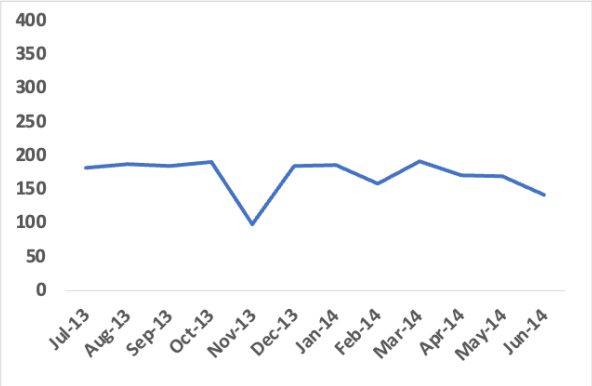
Surjek Chemical Cost Column Chart



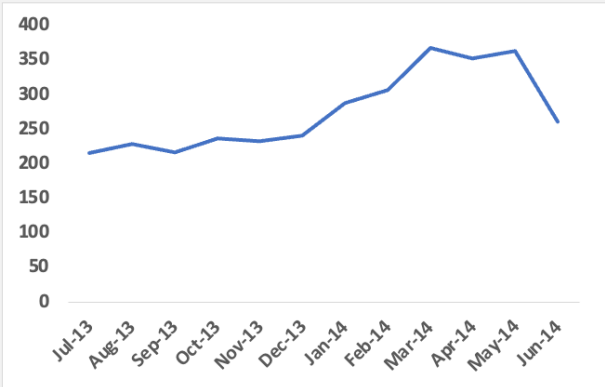
Jutik Chemical Cost Column Chart



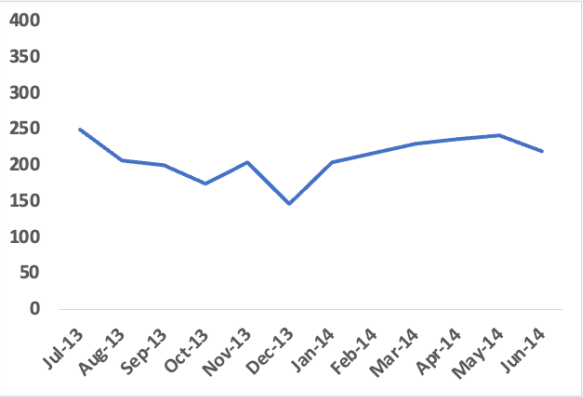
Kootha Water Production Volumes



Surjek Water Production Volumes

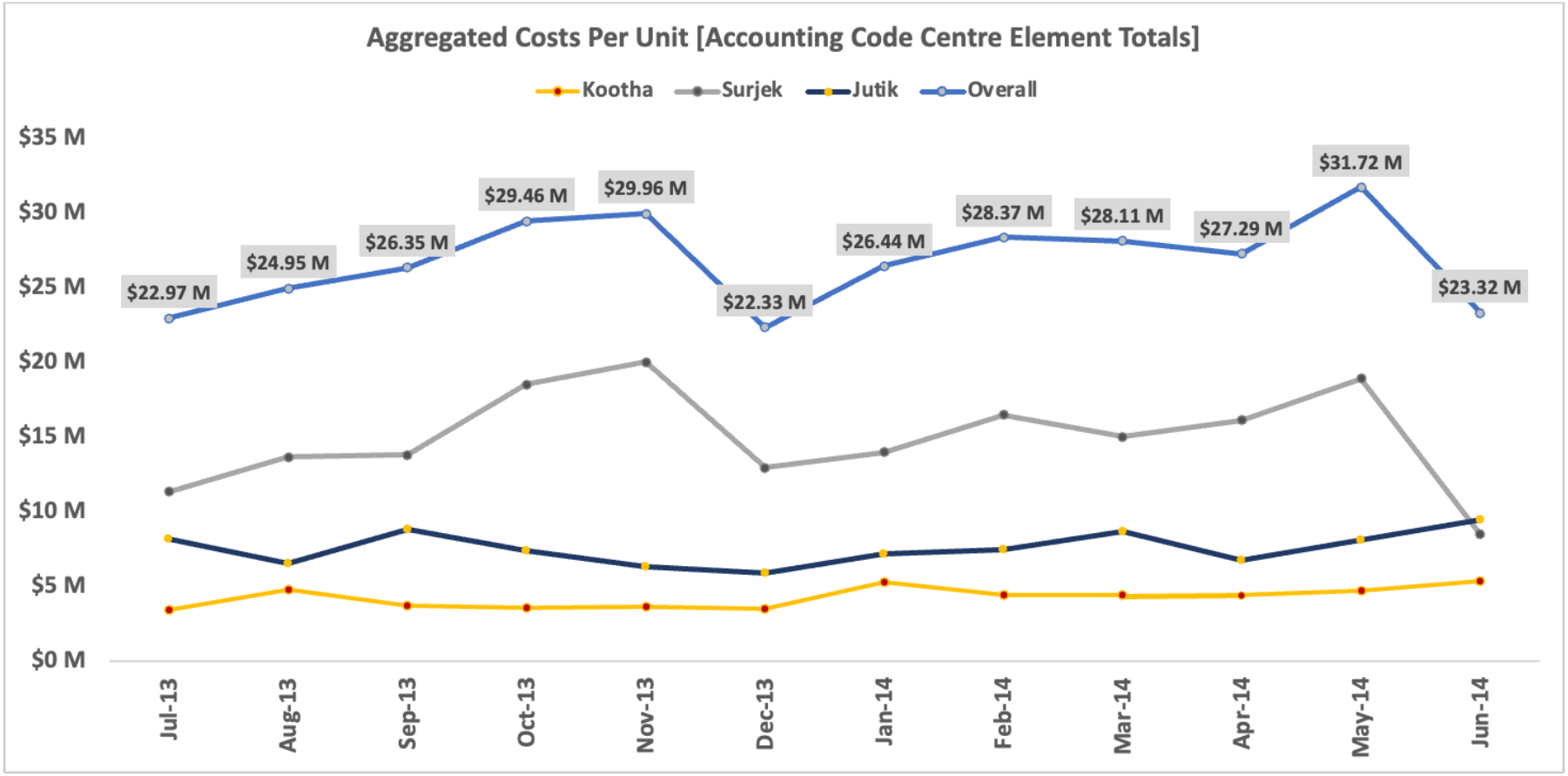


Jutik Water Production Volumes



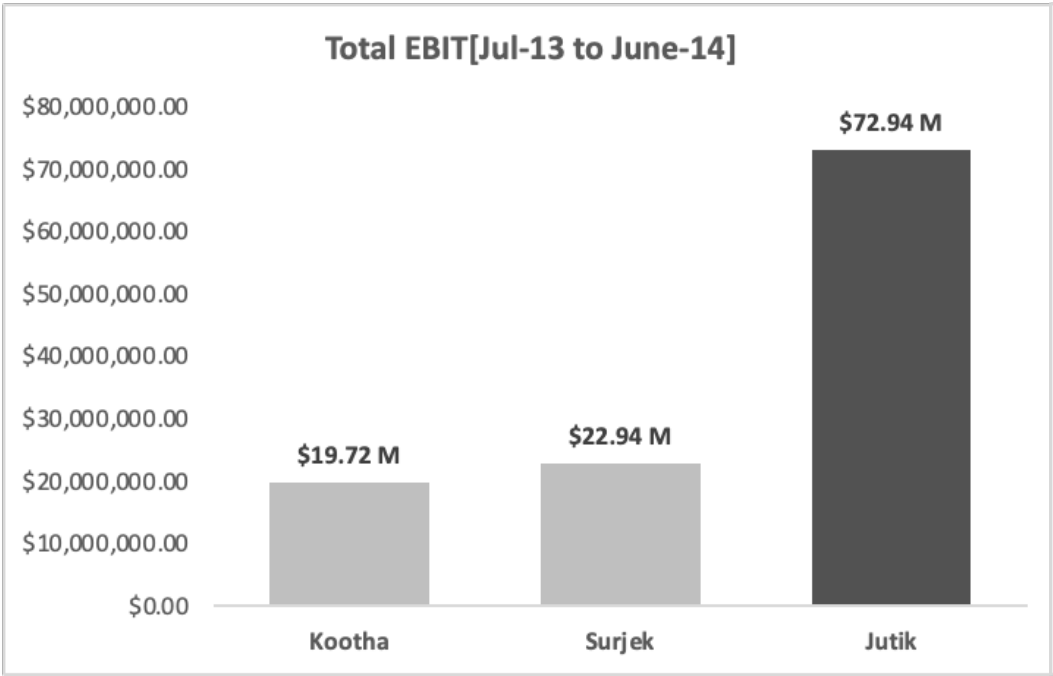
Targeted Expense Analysis reveals an interesting trend; Overall Costs sharply increase from December, with Surjek, contributing $18M (57%) towards the overall cost-base.

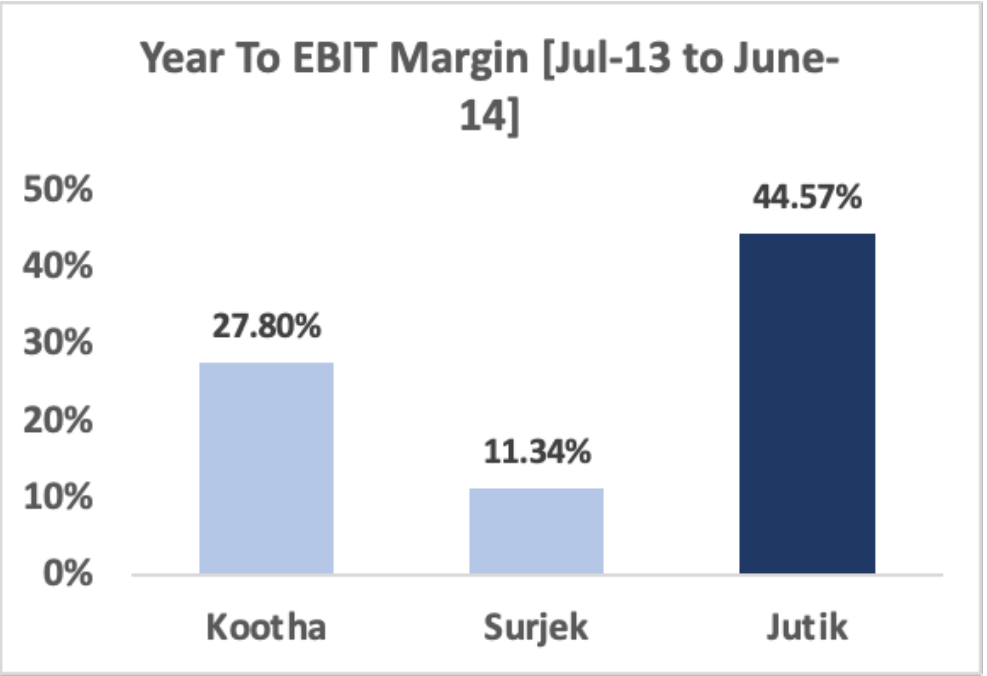
Cost Driver Analysis



Concluding our analysis, Jutik has the highest overall EBIT contributions ($72.94M), followed by Surjek ($22.94M) , and lastly Kootha ($19.72M). However, from an EBIT Margin (%) perspective, Kootha has a higher margin than that of Surjek, indicative of a lower revenue-to-expense ratio.

Profitability Analysis





Recommendations

- **Strengthen Cost Controls at Surjek**
  - Reduce chemical and labor expense spikes by 15–20%
  - Estimated annual savings: $25M–$35M

- **Improve Operational Efficiency**
  - Lower variable cost per unit by 8–12% through process optimization
  - Margin improvement of 3–4 percentage points

- **Leverage Kootha's Margin Model**
  - Apply best practices to Surjek and Jutik
  - Increase EBIT margin from 11% → 15%
  - $20M+ additional EBIT potential

- **Rebalance Production Load**
  - Shift 10–15% of volume from Surjek to other units
  - Reduce cost concentration from 56% → below 45%

- **Overall Financial Impact**
  - Estimated total savings: $45M–$60M annually
  - Improved margin stability and cost resilience

Thank You!